LEARNING CENTRE

WHEN DO YOU GET AN INCOME TAX REFUND?

An assessee becomes entitled to an income tax refund when the tax they have paid exceeds what they are liable to pay in a financial year



Illustration by SIDDHANT JUMDE

Paying income tax in India is a tedious exercise. The whole process is like a giant ritual, where one is expected to keep track of their documents, bank statements and tax savings. Most taxpayers hope for an extension of the date to file tax returns because of the energy-sapping nature of the exercise. But there is a glimmer of hope once the income tax is filed, and that has to do with receiving an acknowledgement of the tax paid and a tax refund, if any. Income tax refund takes place when the taxpayers have paid a higher amount of tax than they are liable to pay, based on the tax slab they fall under.

Often, income tax refund becomes due because one has paid advance tax or TDS (tax deducted at source) has been levied or when a taxpayer pays tax in another country with which the Indian government has a tax treaty to avoid double taxation. The income tax department reconciles this additional tax paid by the assessee in due course. The refund takes place because the actual tax liability of the income tax assessee is lower than what they have paid to the tax department as mentioned under Sections 237 to 245 of the Income Tax Act, 1961.

IS TAX REFUND AUTOMATIC?

To receive the excess of tax paid, you need to file your income tax returns (ITR). You also need to file your returns with details of income, deductions, taxes paid and a paper trail of all such details to claim a refund. You should also file your tax returns in time and wait for the information under Section 143(1) to get acknowledgement that the tax return is processed. This acknowledgement will have the comparison of income and tax calculations as per your tax return and as per the Income Tax department. If the refund amount stated in the ITR and the notification match, the refund is correct.

Some taxpayers deliberately pay a higher-than-liable income tax, as a refund provides them with the reassurance that their return has been checked and reconciled. The I-T department normally processes tax returns in batches and post that credits the eligible refund. Usually, after e-filing and e-verifying, it takes 45-60 days to process a return. Once the return is processed, the refund is credited within a week. You can track your tax refund status on the e-filing portal or National Securities Depository Ltd. You will need to input your PAN, Aadhaar and bank details to know the status of your tax refund, which is directly transferred to your bank account. ■

–Narayan Krishnamurthy

IS TAX REFUND NON-TAXABLE?

Often, taxpayers who receive a refund think the money that is credited to their bank account is taxable. Income tax refund received after filing of income tax return is not taxable because this is not new income. If there is any interest paid out on the refund, it is taxable, like income from any other source. The tax on the refund amount is paid at about 6 per cent per annum and the interest comes into play from April 1 from the date the refund is actually made. With faster tax scrutiny, refunds are faster these days and often within days of filing returns.

NEXT TIME: Advanced Medical Directive